

Hong Kong Exchanges and Clearing Limited and The Stock Exchange of Hong Kong Limited take no responsibility for the contents of this announcement, make no representation as to its accuracy or completeness and expressly disclaim any liability whatsoever for any loss howsoever arising from or in reliance upon the whole or any part of the contents of this announcement.

THE HONG KONG AND CHINA GAS COMPANY LIMITED

(A limited company incorporated in Hong Kong under the Companies Ordinance)

(Stock Code: 3)

2024 Interim Results Announcement

Financial and Operational Summary

Gas Business Develops Steadily, Green Energy Brings New Momentum to the Group's Business

In the first half of 2024, the pace of global economic recovery fell short of expectations. The Group responded proactively by undertaking business restructuring and introducing strategic investors and partners to ensure steady business development. • In HONG KONG GAS business, commercial GAS sales recorded significant growth, benefiting from the recovery of tourism and aviation industries and the promotion of environmentally friendly GAS equipment applications, offsetting the impact of hot weather and outbound consumption on residential GAS sales. The upward adjustment of GAS tariffs effective August 1 this year helps alleviate part of the cost pressure, enabling the Group to continue providing safe and quality services to customers while supporting the Group's business development. • In mainland CHINA city GAS business, overall GAS sales volume recorded considerable growth during the period, rising 7% to 18.6 billion cubic meters. Through price adjustment work and refined management, the average city GAS price spread increased to RMB 0.5 per cubic meter, an increase of RMB 0.05 per cubic meter compared to the same period in 2023. • The core profit of the Group's subsidiary Towngas Smart Energy Company Limited grew strongly, with net profit from its renewable energy business surging significantly to HKD 164 million. • In green energy business, the hydrogen energy, SAF and green methanol markets are growing rapidly. The Group is committed to promoting the development of these three green industries, making them new highlights of the Group's business growth. • In extended business, the Group integrated its mainland brand Mingsha and HONG KONG retail business, and on the basis of a customer base of 43 million households, developed three businesses: smart kitchen, insurance and safe home, leveraging synergies to form a growth engine. • During the period, the Group's core business profit rose to HKD 3.186 billion. • The Board of Directors announced the payment of an interim dividend of HKD 0.12 per share for the current year.

Financial Summary

The Board announces that for the six months ended 30 June 2024, the Group's core business profit was HK\$3,186 million, an increase of HK\$69 million or 2% compared to the same period last year. Including non-operating gains and losses, the Group's unaudited profit after tax attributable to shareholders for the six months ended 30 June 2024 was HK\$3,040 million, a decrease of HK\$574 million or 16% compared to the same period last year. Basic earnings per share for the first half of 2024 were HK\$0.163.

The Group's unaudited key business highlights for the first half of the year and comparative figures for the same period last year are as follows:

	Unaudited Six months ended 30 June	
	2024	2023
Revenue, HK\$ million	27,496	29,178
Core business profit, HK\$ million	3,186	3,117
Net non-operating gains and losses, HK\$ million	(146)	497
Profit attributable to shareholders, HK\$ million	3,040	3,614
Basic earnings per share, HK cents	16.3	19.4
HK gas sales volume, in million terajoules	14,932	14,966
Mainland city gas sales volume, in million cubic meters, natural gas equivalent *	18,625	17,454
Number of HK customers as at 30 June, in thousands	2,027	2,005
Number of mainland city gas customers as of June 30, in thousands *	41,394	38,564

Includes all mainland city gas projects of the Group

Dividend

The Board of Directors announces the payment of an interim dividend for the current year of HK\$0.12 per share to shareholders whose names appear on the Company's register of members on 3 September 2024. The Company will suspend the registration of share transfers from Monday, 2 September 2024 to Tuesday, 3 September 2024. Dividend warrants will be dispatched to shareholders on Wednesday, 11 September 2024.

In the first half of 2024, affected by geopolitical tensions, the pace of recovery in the mainland and HONGKONG was less than ideal. The strong HK dollar exchange rate, the prevailing trend of residents traveling north for consumption, and the high number of hot days during the period all posed challenges to the Group's business. However, benefiting from the nation's active promotion of high-quality development and comprehensive green and low-carbon transformation, the Group continued to maintain steady development.

In response to the uncertain economic environment, the Group has actively responded by optimizing and restructuring its business operations. While ensuring a safe urban GAS supply and quality service, the Group focuses on core business and is committed to cost reduction and efficiency enhancement. In other green energy sectors, the Group actively introduces strategic investors and partners, develops diversified businesses through an asset-light model, and develops smart energy to contribute to the sustainable development of the country and the Special Administrative Region.

HK GAS Business

The HK utility business remained stable. In the first half of 2024, HK GAS sales volume was 14,932 million megajoules (equivalent to approximately 430 million cubic meters of natural gas), remaining essentially flat compared to the same period last year, while appliance sales increased by 1.4% compared to the same period last year. As of June 30, 2024, the number of customers was approximately 2.03 million, an increase of 7,678 customers compared to the end of 2023.

After consultation with the HONGKONG Special Administrative Region Government and the Legislative Council this year, GAS tariffs were increased by 4.8% on August 1, 2024; the fixed monthly maintenance fee per household, which had been frozen for 26 years, was also increased by HK\$0.5.

The HKSAR Government has announced the "Hong Kong Hydrogen Development Strategy". Hydrogen energy is regarded as a low-carbon energy source with development potential. Approximately half of the composition of town gas is hydrogen. Due to its low production cost and the pipeline network covering the entire territory of HONGKONG, the development and application of hydrogen energy has become the Group's

one of the key businesses. During the period, THE HONGKONG AND CHINA GAS COMPANY LIMITED developed HONGKONG's first "green hydrogen" pilot project at the Tseung Kwan O landfill, utilizing biogas. The project is expected to commence operation in 2025, producing approximately 330 kilograms of hydrogen per day, sufficient to supply 7 to 8 hydrogen-powered buses for one day's mileage. This project will position HONGKONG as one of the few cities in the world capable of "self-producing" green hydrogen.

Mainland CHINA Business

In the first half of 2024, national natural gas consumption demand recovered significantly. The Group successfully seized the vigorous development opportunities of the "New Three" industries (namely electric vehicles, lithium batteries, and photovoltaic products). Combined with the Group's effort to develop "GAS+" services, focusing on developing high-quality industrial customers and providing energy trusteeship for public institutions, industrial gas consumption increased by 3% in the first half of the year. With the mainland economy warming up, commercial gas consumption also grew strongly by 9%. During the period, the Group's total gas sales volume for city-gas business was approximately 18.6 billion

cubic meters, an increase of 7% compared to the same period last year. Gas customers increased to over 41.39 million households, representing a growth of

7.3% compared to the same period last year. Including the subsidiary Towngas Smart Energy Company Limited ("Towngas Smart Energy"; stock code:

1083.HK), as of the end of June 2024, the Group's total number of city gas projects in mainland China reached 321.

Since the formal establishment of the Group's gas sourcing business segment last year, cooperation with three major oil companies, the National Pipeline Network, and large regional energy companies has progressed steadily, with strategic cooperation agreements signed. In the first half of this year, the total coordinated gas volume reached 1.9 billion cubic meters, enhancing natural gas supply security capability while assisting city gas enterprises in reducing costs and improving efficiency. Meanwhile, benefiting from the decline in upstream natural gas prices, the average city gas prices spread in the first half of 2024 climbed steadily to RMB0.5 per cubic meter, an increase of RMB0.05 per cubic meter compared to the same period in 2023.

The Group utilizes the gas storage facility located in Jintan District, Changzhou City, Jiangsu Province to carry out interchange and coordination between pipeline gas and liquefied natural gas delivery modes, further enhancing the resilience of the gas sources supply chain and improving infrastructure efficiency. In May this year, the Group's Emergency Peak-Shaving Storage and Distribution Base (Phase I) project located in Weiyuan County, Sichuan Province officially commenced operation and can deliver gas to Hubei, Jiangxi and other regions, achieving cross-regional sales. During the period, the Group signed the "Strategic Cooperation Agreement on Deepening New Energy Projects" with the Weiyuan County Government of Sichuan Province, and both parties will further deepen cooperation in shale gas hydrogen production, helium extraction, distributed energy and other areas in the future.

The Group's water and environmental sanitation businesses achieved stable profit growth during the period, with water sales volume and sewage treatment volume increasing by 1.4% and 5.9% respectively compared to the same period last year, and waste treatment volume increasing by 13.7% compared to the same period last year.

Renewable Energy Business

Under the nation's unwavering commitment to achieving the "3060" dual carbon goals, actively promoting comprehensive green transformation of economic and social development has led to increasing customer demand for renewable energy and energy conservation and carbon reduction, which also brings opportunities for the Group in the renewable energy sector.

Building on the advantage of having over 400,000 industrial customers in mainland China, the Group actively promotes renewable energy in alignment with national policies

widespread application. Among these, the Group has vigorously deployed energy storage business development, through photovoltaic surplus power storage, as well as integrated comprehensive energy services of "photovoltaic, storage, sales, and operation & maintenance," fully releasing the value of photovoltaic assets and bringing profit margins to the Group. As the Group continues to promote Energy as a Service (EaaS), facilitating energy management for industrial customers and bringing stable revenue, the related services are gradually demonstrating competitive advantages.

Under the above deployment, the Group's renewable energy business recorded profitability last year, and achieved substantial profit growth in the first half of this year. Currently, it possesses gigawatt-scale photovoltaic power station investment, construction, and operation capabilities, forming a high-growth one-stop intelligent carbon reduction ecosystem platform. Since the end of 2023, the Group has operated its renewable energy business under an asset-light model, and by the first half of 2024, has successfully introduced multiple strategic investors into photovoltaic projects.

As of June 30, 2024, HONGKONG & CHINA GAS Smart Energy has cumulatively signed contracts for 3.3 gigawatts and connected 2.1 gigawatts to the grid. Overall turnover increased by 6.3% compared to the same period last year to HKD 10.501 billion. Core business profit increased significantly by 57.5% to HKD 707 million (in RMB terms, an increase of 63.3%).

Extended Business

The Group currently has over 41 million and 2 million household customers in mainland China and HONG KONG respectively. Building on the foundation of providing quality city GAS services, it also sells high-quality cooking appliances and cabinets, and promotes home insurance business. Under the national policy vigorously promoting trade-in of consumer goods, these 43 million customers plus over 2 million new customers annually will certainly bring greater business opportunities to the Group.

To this end, the Group has integrated its mainland brand Mia Casa and Hong Kong retail business, and expanded three core businesses: smart kitchen, insurance business, and safe home. On the foundation of the gas business, leveraging synergies to form a growth engine. The Group has launched the "Mia Casa Alert Platform Service," providing a "product+platform+service" solution by leveraging advanced digital platform advantages. During the period, Mia Casa signed a cooperation framework agreement with Fullshare New Horizon (China) Limited to provide more diversified services to customers in the insurance business.

Green Energy Business

As efforts and measures to address climate change intensify worldwide, particularly in advancing the replacement of fossil fuels with green fuels, global focus has shifted to Sustainable Aviation Fuel ("SAF") and green methanol, making them rapidly growing markets. At the same time, the SAR Government has also proposed to vigorously promote the injection of SAF by airlines in HONG KONG, as well as to provide green methanol bunker in services for local vessels and ocean-going ships. The Group is involved in both of these green industries and expects them to become important growth drivers.

EcoCeres, Inc., in which the Group holds a stake, converts biomass waste into a wider range of biofuels, biochemicals, and biomaterials. The company possesses commercial production capabilities for Hydrotreated Vegetable Oil (HVO) and SAF. Through strengthening

technical research and development and capacity enhancement, the proportion of SAF production capacity and output has been successfully increased in the first half of this year. EcoCeres' new plant in Malaysia is expected to be completed by the end of 2025.

Currently, the Group's green methanol production facility located in Inner Mongolia Autonomous Region is expected to increase its capacity to 120,000 tons per year in the coming years. This project has successfully obtained EU "ISCCEU" and "ISC CPLUS" certifications for three consecutive years. Building on last year's delivery of the first batch of green methanol to overseas customers, this year the facility will supply green methanol fuel to more customers.

Environment, Social and Governance

The Environmental, Social and Governance ("ESG") Committee under the Group's Board of Directors is responsible for assisting the Board in overseeing related matters' management and implementation, regularly reporting and discussing relevant policies, measures, project progress, targets and effectiveness. A Steering Committee is established under it to collaborate with each other, committed to enhancing the Group's overall performance in the ESG domain. Working Committees are also established under it, dedicated to integrating ESG measures into the Group's business operations and corporate culture.

In terms of corporate governance structure, the Group values diversity among Board members. In June 2024, Professor Wong Wai Kwan was appointed as an Independent Non-Executive Director of the Company, as well as a member of the Audit and Risk Committee, Remuneration Committee, Nomination Committee, and Environmental, Social and Governance Committee. This appointment has brought benefits to enhancing the Company's governance and performance.

The Group has repeatedly received high recognition from international rating agencies. The Company, together with Towngas Smart Energy, once again both became "Top 1% of Chinese Enterprises" in global ESG scoring, and were once again selected for "The Sustainability Yearbook (China Edition) 2024".

As a public utility institution firmly fulfilling its social responsibilities, the Group's Towngas Volunteer Team, established in 1999, celebrated its 25th anniversary this year, with total service hours exceeding 1 million and beneficiaries exceeding 8.5 million to date. In addition, the "Towngas Green Flame Energy Scientist Cultivation Programme" (2023-2024 academic year), which promotes community ESG and energy education, has been successfully completed, with over 20 primary schools and 3,000 students participating in the programme, learning about topics such as future energy development and climate change. We hope to inspire children's interest in energy science and encourage the practice of green and low-carbon living from an early age.

2024 Business Outlook

The SAR Government's vigorous promotion of the mega-event economy, encouragement of local tourism consumption, together with the national policies benefiting HONG KONG, all have a positive impact on the market.

boosted the catering and hotel industries; however, changes in Hong Kong residents' consumption patterns and the persistently unstable external environment,

poses challenges to operations. The Group will be committed to reducing costs and increasing efficiency, advancing green energy development, and developing diversified businesses to ensure continued

Steady development.

We expect HK gas sales to remain stable in 2024; the gas standard tariff and maintenance monthly fee in August

After the adjustment, it will help offset part of the cost increase and be used for investment. The Group will also, as always, continue to invest in infrastructure facilities,

Environmental protection, safety services, and caring for communities in need, providing customers with high-quality and excellent services.

The Group will make good use of the landfill gas-to-sustainable fuel "green hydrogen" project to achieve waste-to-energy conversion. We expect

Taking this as a development opportunity, replicate the relevant experience and technology to other landfills and application scenarios, expand green hydrogen production facilities,

Expand supply capacity in the long term, thereby accelerating HONG KONG's low-carbon transition and development of new quality productive forces.

On the mainland, the Group's city-gas and natural gas businesses on the mainland are expected to continue growing in the second half of the year; renewable energy business

The business will also continue to expand with the advancement of the national dual carbon goals, and it is expected that more new projects will be completed and bring

Profit enhancement, becoming one of the important pillars for the Group's future business development.

In the face of a high interest rate environment, the Group secured financing at lower interest rates and introduced new

Partners not only are expected to secure new funding at lower costs, but will also bring new thinking in development and management, which is beneficial for

Long-term growth of the Group's business.

In summary, the Group has currently taken encouraging steps in SAF and green methanol projects, and plans to further expand in the future production capacity, preparing for future demand in the low-carbon fuel market. The Group will continue to focus on green energy development and related technologies applications, and deepen our presence in existing markets and customers, establish a more resilient business model, and continuously create new value.

Chairman
Chairman
LeeKa
KitLee
KaShingHongKong,16August2024

Financial

The following are the highlights of the Group's interim financial statements for the first six months ended 30 June 2024. The unaudited interim financial statements have been reviewed by the Company's Audit and Risk Committee and external auditors PricewaterhouseCoopers.

Consolidated Income Statement (Unaudited) Six months ended 30 June

2024	2023	Note	HK\$ Million	HK\$ Million	Turnover	3
27	27		496.2			
29	29		177.6			
16	16		0.7			
361	361		.7			
691	691		.3			
613	613		.5			
300	300		.4			
111	111		.2			
(1,012.8)	(1,012.8)					
56	56		1.4			
19	19		.5			
3,614.4	3,614.4					
56	56		.1			
521	521		.2			
649	649		.0			
56	56		1.4			
19	19		.5			
16	16		.3			
19	19		.4			
16	16		.0			
18	18		.9			

2024 2023 HK\$

Million HK\$

Million Profit

for the period

3,561.44,

319.5 Other

comprehensive income:

Items that will not be

reclassified to profit or loss: Equity

investments at fair value through other comprehensive income

Changes in

reserves (104.4) (67.

1) Exchange

differences (

442.8) (433.1) Items

that may be reclassified

subsequently to profit or loss: Debt investments

measured at fair value through other comprehensive income

Changes in reserves **0.8 (1.0)** Fair value changes on cash flow hedges **(18.5) (81.0)** Share

of other comprehensive income / (loss) of associates **4.7 (3.3)** Exchange differences

(1,226.2) (2,138.4) ————— Other comprehensive **loss for the** period,

net of tax **(1,786.4) (2,723.9)** ————— **Total comprehensive income for the**

period **1,775.0 1,595.6** ===== **Total comprehensive income**

attributable to: **Shareholders** of the Company **1,723.1 1,320.6** Perpetual **capital**

securities holders -

56.1 Non-controlling interests

51.9

218.9 ————— **1,775.0 1,595.6** =====

Consolidated Statement of Financial Position (Unaudited) As at 30 June 20				
24 20				
24 2023 30 June 31 December	Note	HK\$ Million	HK\$ Million (Restated)	Assets Non-
current assets	Property, plant and equipment			
71 ,052.9				
71 ,2				
76 .6	Investment properties	1,001.1	1,001.1	Right-of-use assets 2,007.0
				2,140.2
Intangible assets	4,388.3	4,463.2	Associates	
35 ,				
71 0.0				
36 ,064.1	Joint ventures			
10 ,613.7				
10 ,884.1	Financial assets at fair value through other comprehensive income	1,		
66 4.7 1,830.5	Financial assets at fair value through profit or loss	1,659.2	1,706.5	
Derivative financial instruments				
92 .7				
76 .6	Retirement benefit assets			
10 5.4				
10 5.4	Other non-current assets	5,863.8	5,795.5	————— —————
134 ,158.8 1				
35 ,343.8	————— ————— Current assets			
	Inventories	2,852.8	2,567.0	Trade
and other receivables 9				
10 ,				
24 4.3 9,				
92 4.6	Loans to associates and other receivables	1,2		
76 .6				
752 .3	Loans to joint ventures and other receivables			
454 .0 5				
10 .9	Loans to non-controlling shareholders and other receivables			
165 .0				
24 8 .8	Financial assets at fair value through profit or loss	1,		
35 8.6	1,374.8	Derivative financial instruments		
25 .9				
18 .4	Time deposits over three months			
91 .5				
66 .0	Time deposits of three months or less, cash and bank balances	8,527.1	8,972.1	
————— —————				
24 ,995.8				
24 ,434 .9	————— ————— Assets held for sale	1,090 .5	2,198.9	—————
—————				

Consolidated Statement of Financial **Position** (Unaudited) **(Continued)** As at 30 June
2024 2024 2023 30 June 31 December HK\$ Million HK\$ Million (Restated) Current
Liabilities Trade and other payables
10 (19,823.3) (19,926.8) Loans from **and other payables** to associates (56.4) (72.2)
Loans from and other **payables** to joint ventures (316.2) (629.7) Loans from **and other**
payables to non-controlling shareholders (75.9) (85.9) **Tax provisions** (1,376.4)
(1,619.3) **Borrowings (22,091.5)** (16,567.2) Redeemable perpetual **securities -**
(2,343.6) Derivative financial instruments **(86.2)** (132.1) ———— (43,825.9)
(41,376.8) ———— **Liabilities** directly associated **with assets held**
for sale (481.8) **(717.2)** ———— ———— Total assets less current liabilities
115,937.4
119,883.6 ———— ———— Non-current Liabilities **Deferred tax** (6,743.3)
(6,924.3) **Borrowings** (37,992.1) (38,858.1) Derivative **financial instruments**
(95.4) (76.3) Loans **from joint** ventures (301.3) (1
10 .0) **Other** non-current liabilities **(2,806.0)** (2,896.2) ———— ———— (47,938.1)
(48,864.9) ———— ————

Net Assets
67,999.3
71,018.7 ===== **Capital** and Reserves Share Capital 5,474.7 5,474.7
Reserves
51,794.4
54,378.1 ———— ———— Shareholders' **Funds**
57,269.1
59,852.8 **Non-controlling** Interests
10,730.2
11,165.9 ———— ———— **Total Equity**
67,999.3
71,018.7 =====

Notes to the Condensed Consolidated Interim Financial Statements (Unaudited)

1. Basis

of Preparation and Accounting Policies

These unaudited condensed consolidated interim financial statements have been prepared in accordance with the Rules Governing the Listing of Securities on The Stock Exchange of Hong Kong Limited and Hong Kong Accounting Standard 34 "Interim Financial Reporting" issued by the Hong Kong Institute of Certified Public Accountants. These interim financial statements do not constitute statutory financial statements. As at 30 June 2024, the Group's net current liabilities (including assets held for sale and liabilities directly associated with assets held for sale) amounted to approximately HK\$18,200,000,000, which included borrowings of approximately HK\$

22,100,000,000 repayable within one year from the end of the reporting period. After considering the Group's available credit facilities, track record of obtaining external financing and the Group's expected cash flows from operations, management believes that the Group has sufficient financial resources to meet its liabilities as they fall due. Accordingly, the condensed consolidated interim financial statements have been prepared on a going concern basis. In June 2024, the Group commenced negotiations with banks for the renewal of two bank facilities totaling RMB4,000,000,000 with maturity dates in March 2025 and June 2025 respectively. As at 30 June 2024, the related outstanding amount of approximately HK\$3,300,000,000 was classified as current liabilities. Subsequent to the reporting period, the Group successfully obtained commitment letters from the banks to extend the original maturity dates of the relevant loans by 5 years, subject to completion of administrative procedures by the banks. The comparative information contained in these condensed consolidated interim financial information for the six months ended 30 June 2024 has been extracted from the consolidated financial statements for the year ended 31 December 2023, but such information does not constitute the Group's statutory annual consolidated financial statements for that year. Further information required by section 436 of the Hong Kong Companies Ordinance (Cap. 6

22) (the "Companies Ordinance") to be disclosed in relation to those statutory financial statements is as follows: The Company has delivered the consolidated financial statements for the year ended 31 December 2023 to the Registrar of Companies as required by section 662(3) of and Part 3 of Schedule 6 to the Companies Ordinance. The Company's auditor has prepared an auditor's report on those consolidated financial statements for that year. The auditor's report was unqualified and did not include a reference to any matters to which the auditor drew attention by way of emphasis without qualifying their report, and did not contain a statement under sections 406(2), 407(2) or (3) of the Companies Ordinance. Except as described below, the accounting policies adopted by the Group in preparing these unaudited condensed consolidated interim financial statements are consistent with those adopted in the annual report for the year ended 31 December 2023.

The Group has applied the following amendments to standards and interpretations relevant to the Group for financial years beginning on or after 1 January 2024.

Amendments to HKAS 1 Classification of Liabilities as Current or Non-current and Non-current Liabilities with Covenants
Amendments to HKFRS 16 Lease Liability in a Sale and Leaseback
HK(IFRIC)-Int 5 (Revised) HK(IFRIC)-Int 5 (Revised) Presentation of Financial Statements – Classification by the Borrower of a Term Loan that Contains a Repayment on Demand Clause
Amendments to HKAS 7 and HKFRS 7 Supplier Financing Arrangements

Except as described below, the adoption of these amendments to standards and interpretations has not had any material impact on the Group's results and financial position, nor has it resulted in any significant changes to the Group's accounting policies.

In preparing these condensed consolidated interim financial statements, the significant judgements made by management in applying the Group's accounting policies and the key sources of estimation uncertainty were the same as those applied to the consolidated financial statements of the Group for the year ended 31 December 2023.

Notes to the Condensed Consolidated Interim Financial Statements (Unaudited)

1. Basis of Preparation and Accounting Policies (Continued)

Impact of Amendments to HKAS 1 "Classification of Liabilities as Current or Non-current" and Related Amendments to HK Interpretation 5 (2020) ("2020 Amendments") and Amendments to HKAS 1 "Non-current Liabilities with Covenants" ("2022 Amendments")

Convertible bonds (conversion rights that do not meet the "fixed-for-fixed condition") In determining whether convertible bonds (including the host liability measured at amortised cost and the conversion rights at fair value through profit or loss) should be classified as current or non-current, the Group considers redemption through cash settlement and the transfer of equity instruments held by the Group due to the holder's exercise of conversion rights as settlement of the convertible bonds. The Group has applied the new accounting policies and amendments retrospectively. The application of the amendments in the current period has the following impact on convertible bonds whose conversion rights do not meet the "fixed-for-fixed condition". The Group's outstanding convertible instruments include counterparty conversion rights that do not meet the equity instrument classification under HKAS 32 "Financial Instruments: Presentation". The host liability component is measured at amortised cost, while the derivative component (representing the conversion rights) is measured at fair value. Following the application of the 2020 amendments, given that the conversion rights are exercisable at any time, the host liability and derivative components as at 1 January 2023 and 31 December 2023 have been reclassified as current liabilities, as the holders have the right to convert within 12 months after the reporting period. Other than as disclosed above, the application of the 2020 amendments and 2022 amendments has no other material impact on the classification of the Group's other liabilities. The change in accounting policy has no impact on the Group's profit or loss or earnings per share for the six months ended 30 June 2024 and 2023. Details of the impact of applying the amendments on each line item in the condensed consolidated statement of financial position are set out below under "Impact of the application of amendments to Hong Kong Financial Reporting Standards on the condensed consolidated interim financial statements". Comparative figures have been restated.

**Basis of Preparation and
Accounting Policies (Continued)**

**Impact of the Application of Amendments to Hong Kong Financial Reporting Standards on the
Condensed Consolidated Interim Financial Statements**

The impact on the condensed consolidated statement of financial position as at the end of the reporting period (i.e. 30 June 2024), the end of the previous year (i.e. 31 December 2023), and the beginning of the comparative period (i.e. 1 January 2023) due to changes in accounting policies arising from the application of the 2020 Amendments and the 2022 Amendments is as follows:

As of June 30, 2024

2020
AmendmentsNotApplie
d

and

20 HKD million As reported Reclassification

22 Revision Current liabilities Borrowings

22 ,091.5 (1,843.2)

20 ,248.3 Derivative financial instruments

86 .2 (

27 .2)

59 .0 Non-current liabilities Borrowings

37 ,992.1 1,843.2

39 ,835.3 Derivative financial instruments

95 .4

27 .2 1

22 .6 ----- Total impact on net assets - - - =====

===== As at 31 December

20 23 HK\$ million As originally stated Reclassification As restated Current liabilities
Borrowings

14 ,709.4 1,857.8

16 ,567.2 Derivative financial instruments

37 .6

94 .5

132 .1 Non-current liabilities Borrowings

40 ,715.9 (1,857.8)

38 ,858.1 Derivative financial instruments

170 .8 (

94 .5)

76 .3 ----- Total impact on net assets - - - ===== As at

1 January

20 23 HK\$ million As originally stated Reclassification As restated Current liabilities
Borrowings

19 ,680.9 1,854.9

21 ,535.8 Derivative financial instruments -

20 0.7

20 0.7 Non-current liabilities Borrowings

39 ,623.1 (1,854.9)

37 ,

76 8.2 Derivative financial instruments 2

94 .3 (

20 0.7)

93 .6 ----- Total impact on net assets - - - =====

Notes to the Condensed Consolidated Interim Financial Statements (Unaudited)

2. Financial

Risk Management and Fair Value Estimation of Financial Instruments

The Group's operation exposes the Group to a variety of financial risks: market risk (including foreign exchange risk, price risk, and cash flow and fair value interest rate risk), credit risk and liquidity risk. This condensed consolidated interim financial statements do not include all financial risk management information and disclosures required in the annual consolidated financial statements, and should be read in conjunction with the Group's consolidated financial statements for the year ended 31 December 2023. There have been no changes in the risk management policies since year end. The Group's financial instruments are measured at fair value in the consolidated statement of financial position, and disclosure of fair value measurements by level is required using the following fair value measurement hierarchy: - Quoted prices (unadjusted) in active markets for identical assets or liabilities (Level 1).

Inputs

other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e., as prices) or indirectly (i.e., derived from prices) (Level 2).

Inputs for the asset or liability that are not based on observable market data (i.e., unobservable inputs) (Level 3).

The table below presents the Group's financial assets and financial liabilities measured at fair value as at 30 June 2024 and 31 December 2023.

Level 1	Level 2	Level 3	Total
---------	---------	---------	-------

As of December 31, 2023	June 30, 2024	December 31, 2023	June 30, 2024	December 31, 2023	June 30, 2024	December 31, 2023	June 30, 2024
Assets	Assets	Assets	Assets	Assets	Assets	Assets	Assets
At fair value	At fair value	At fair value	At fair value	At fair value	At fair value	At fair value	At fair value
and in	and in	and in	and in	and in	and in	and in	and in

Financial assets at fair value through profit or loss - Debt securities

261.0
263.1 - -
14.0 -
275.0
263.1 - Equity investments 2,450.7 2,520.0 - -
292.1
298.2 2,742.8 2,818.2 Derivative financial instruments - -
118.6
95.0 - -
118.6
95.0 At fair value through

Financial assets at other comprehensive income - Debt securities

61.6
60.9 - - - -
61.6
60.9 - Equity investments 1,230.4 1,351.4 - -
372.7

418.2 1,
60 3.1 1,769.6 Total financial assets 4,003.7 4,1
95.4

118 .6

95.0

678.8

716.4 4,801.1 5,006.8 Financial liabilities Derivative financial instruments - -

154 .4

113 .9

27 .2

94 .5

181.6

208.4

154 .4

113 .9

27 .2

94 .5

181 .6

208.4

There were no changes in valuation techniques during the period.

Notes to the Condensed Consolidated Interim Financial Statements (Unaudited) **2. Financial Risk Management and Fair Value Estimation of Financial Instruments (Continued)** The fair value of financial instruments traded in active markets is based on quoted market prices at the reporting period end date. An active market is a market in which quotations are readily and regularly available from an exchange, dealer, broker, industry group, pricing service, or regulatory authority, and those quotations represent actual and regularly occurring arm's length market transactions. The market quotation used for financial assets held by the Group is the current bid price. Such instruments are classified as Level 1. The fair value of financial instruments that are not traded in an active market (for example: over-the-counter derivatives) is determined using valuation techniques. These valuation techniques maximize the use of observable market data where available and rely as little as possible on entity-specific estimates. If all significant inputs required to fair value an instrument are observable, the instrument is classified as Level 2. Specific valuation techniques used to value financial instruments include: – Quoted market prices or dealer quotations for similar instruments. – The fair value of cross currency swaps is calculated as the present value of the estimated future cash flows based on observable forward exchange rates and yield curves. – The fair value of interest rate swaps is calculated as the present value of the estimated future cash flows based on observable yield curves. – The fair value of forward foreign exchange contracts is determined using forward exchange rates at the reporting period end to calculate the present value of future cash flows.

If one or more significant inputs are not determined based on observable market data, the instrument is classified as Level 3. –

Financial

assets include unlisted equity investments of approximately HK\$700 million (31 December 2023: approximately HK\$700 million), the fair value of which is determined with reference to the attributable net asset value and recent comparable transaction prices (if any), which are significant unobservable inputs. The higher the attributable net asset value and recent comparable transaction

prices (if any), the higher the fair value.

– Financial liabilities include the embedded derivative component of convertible bonds of approximately HK\$27,200,000 (31 December 2023: approximately HK\$94,500,000), the fair value of which is determined based on a binomial option pricing model.

Significant unobservable inputs include expected volatility of share price of 39.5% (31 December 2023: 43.2%). The higher the expected volatility of share price, the higher the fair value of the embedded derivative component of the convertible bonds.

The table below presents the movements in Level 3 instruments of the Group for the period ended 30 June 2024 and the year ended 31 December 2023:

Financial Assets	Financial Liabilities	At the beginning of the period/year ended 30 June 2024	At the beginning of the period/year ended 31 December 2023	For the six months ended 30 June 2024
Year ended 31 December 2023	At the beginning of the period/year ended 30 June 2024	ended 30 June 2024	31 December 2023	ended 30 June 2024
716.4	18,979.8			
94.5				
354.7	Additions			
17.1				
73.6	- - Disposals - (137.3)	- - Changes in fair value (41.9)	(1,728.3)	(65.8)
	differences (			
12.8)	(96.1) (1.5) (4.6) Transfer to Level 1 - (1,374.8)	- -		
	At end			
of period/year				
678.8				
716.4				
27.2				
94.5				

The carrying amounts of financial assets and financial liabilities measured at amortised cost in the condensed consolidated interim financial statements approximate their fair values.

3. Segment information The Group is principally engaged in the production, distribution and marketing of gas, water supply, renewable energy business, and operation of emerging energy business ("Green Energy", previously known as "New Energy") in HONG KONG and Mainland CHINA. Turnover comprises the following:

Six months ended 30 June

20 24

20 23 HK\$ Million HK\$ Million Gas sales, before fuel cost adjustment

20,755.9

21,115.0 Fuel cost adjustment

540.4

574.3 Gas sales, after fuel cost adjustment

21,

29 6.3

21,689.3 Gas connection income 1,412.9 1,449.8 Appliance sales and maintenance 1,564.9 1,582.0

Water charges and related income

741.7

754.3 Renewable energy business

754.8

443.3 Biomass utilization business - 1,382.0 Other sales 1,725.6 1,876.9

27,496.2

29,177.6

Notes to Condensed Consolidated Interim Financial Statements (Unaudited)

3. Segment

Information (Continued) The

chief operating decision maker has been identified as the Executive Committee Members of the Company (formerly known as the "Executive Committee"). The Executive Committee Members review the Group's internal reports to assess performance and allocate resources. The Executive Committee Members consider the business segments from both product and geographical perspectives. From a product perspective, management evaluates performance by (a) gas, water, renewable energy and related businesses, (b) green energy, and (c) property businesses. In evaluating gas, water, renewable energy and related businesses, further segmentation is made according to geographical distribution (HONG KONG and mainland CHINA).

Management assesses the performance of operating segments based on adjusted earnings before interest, tax, depreciation and amortization ("Adjusted EBITDA"). Other information provided to management, except as noted below, is consistent with the specification of the condensed consolidated interim financial statements. Information provided to management regarding reportable segments for the six months ended 30 June 2024 and 2023 is as follows:

GAS, Water, Renewable Energy and

2024	2023	Business	Green Energy	Real Estate	Other Segments	Total HK\$ Million	HONG KONG	Mainland CHINA	Revenue recognized at a point in time
20,518.7	20,518.7								5,470.9
348.3	348.3								-
26	26								-
337.9	337.9	Revenue recognized over time							-
442.2	442.2								-
403.3	403.3								-
845.5	845.5	Finance and rental income							-
278.9	278.9								-
33.9	33.9								-
312.8	312.8								5,470.9
20,960.9	20,960.9								
6	6								
27.2	27.2								
33.9	33.9								
403.3	403.3								
27,496.2	27,496.2								

Adjusted EBITDA and

Profit before amortisation 2,912.6 3,024.7

187.7

21.0

65.9 6,

21 1.9 Depreciation and amortisation (429.5) (1,112.4) (102.8) - (98.7) (1,743.4) Unallocated expenses (133.0) ———— 4,335.5 Other gains, net (Note 5)

361.7 Interest expense (1,114.7) Share of results of associates (Note) -

526.2 (4.1)

169.1 0.1

691.3 Share of results of joint ventures -

294.8 0.1 5.5 -

300.4 ———— Profit before taxation 4,574.2 Taxation (1,012.8) ———— Profit for the period 3,561.4 ————

Notes

The Group's share of the valuation of investment properties in International Finance Centre remained unchanged during the period (2023: no change).

Notes to the Condensed Consolidated Interim Financial Statements (Unaudited)
3. Segment Information (Continued)

GAS, Water, Renewable Energy and

2023
Reported Business Green Energy Real Estate Other Segments Total
HK\$ Million HONG KONG Mainland CHINA

Revenue recognized at a point in time 5,587.2 20,144.9 2,048.2 - 121.8 27,902.1

Revenue recognized over time - 448.0 - - 526.2 974.2

Finance and rental income - - 267.7 33.6 - 301.3

5,587.2 20,592.9 2,315.9 33.6 648.0 29,177.6

Adjusted EBITDA and

Profit before amortisation 3,027.4 3,137.2

430 .1

20 .0

65 .9 6,680.6 Depreciation and amortisation (432.4) (1,112.2) (162.6) - (105.6) (1,812.8) Unallocated expenses (116.8) ———— 4,751.0 Other gains, net (Note 5) 1,269.0 Interest expense (1,057.3)

Share of results of associated companies -

475 .0 (62.0)

199 .5 1.0

613 .5 Share of results of joint ventures -

107 .5 0.2 5.4 (1.9)

111 .2 ———— Profit before taxation 5,687.4 Taxation (1,367.9) ———— Profit for the period 4,319.5 =====

Notes to the Condensed Consolidated Interim Financial Statements (Unaudited) 3. Segment Information (Continued) Segment assets as at 30 June 2024 and 31 December 2023 are as follows:

GAS, Water, Renewable Energy and

June 30, 2024	Green Energy	Real Estate	Other Segments	Total HK\$ Million	HONG KONG	Mainland CHINA	Segment Assets
19,001.3							
99,014.1							
16,008.9							
16,413.6							
153,478.4							
Unallocated Assets: Measured at Fair Value and in							
Financial assets at fair value through other comprehensive income 1,664.7							
Measured at fair value and in							
Financial assets at fair value through profit or loss 3,017.8							
Time deposits, cash and							
Bank balances (excluding segment assets) 1,620.8							
Others (Note)							
463.4							
160,245.1							
Total assets							

GAS, Water, Renewable Energy and

December 31, 2023	Green Energy	Real Estate	Other Segments	Total HK\$ Million	HONG KONG	Mainland CHINA	Segment Assets
18,524.1							
99,194.2							
16,708.8							
16,309.1							
999.2							
154,735.4							
Unallocated Assets: Measured at fair value and in							
Financial assets at fair value through other comprehensive income 1,830.5							
Measured at fair value and in							
Financial assets at fair value through profit or loss 3,081.3							
Time deposits, cash and							
Bank balances (excluding segment assets) 1,253.9							
Others (Note) 1,076.5							
161,977.6							
Total assets							

Note:

Other unallocated assets mainly include other receivables not included in segment assets, retirement benefit assets, derivative financial instruments, and loans and other receivables to non-controlling shareholders.

Segment**Information**

(Continued) Internal reports used by management for performance evaluation and resource allocation do not include liabilities. Therefore, segment liabilities are not presented. The Company is domiciled in HONG KONG. For the six months ended 30 June 2024, the Group's revenue from external customers in HONG KONG was HK\$6,170,800,000 (2023: HK\$6,391,500,000), and revenue from external customers in mainland CHINA and other regions was HK\$21,325,400,000 (2023: HK\$22,786,100,000). As at 30 June 2024, total non-current assets (excluding financial instruments) located in HONG KONG amounted to HK\$36,077,900,000 (as at 31 December 2023: HK\$35,981,000,000), and total non-current assets (excluding financial instruments) located in mainland CHINA and other regions amounted to HK\$94,664,300,000 (as at 31 December 2023: HK\$95,749,200,000). 4. Total Operating Expenses

Six months ended 30 June 20

24 20

23 HK\$ Million HK\$ Million Inventories and materials consumed

16,657.4

18,094.3 Staff costs 1,971.8 1,904.6 Depreciation and amortisation 1,784.4 1,835.4 Other operating expenses 2,747.1 2,592.3 ————— —————

23,

16 0.7**24,426.6** ===== **5. Other gains, net Six months ended 30 June 20**

24 20

23 HK\$ Million HK\$ Million Business restructuring (Note a): Net gain on disposal of subsidiaries

- 4,677.2 Impairment loss on assets - (2,007.7) Remeasurement loss on assets classified as held for sale

(14.4) **(659.4)** Realised loss on equity investments and related derivative financial instruments -

(1,757.8) ————— (14.4)

252.3 -----

HONG KONG AND CHINA GAS SMART ENERGY COMPANY LIMITED ("HONG KONG AND CHINA GAS SMART ENERGY")

Divestment from Shanghai Gas Co., Ltd.:

Gain on disposal of an associate -

692.2 ----- **Other items: Impairment loss on assets (Note b) (41.0) (212.2) Gain on deemed disposal/disposal of subsidiaries**

54.5 - Gain on deemed disposal of partial interest in an associate

37.2 - Gain on disposal of an associate engaged in water business -

89.4 Fair value change on embedded derivative component of convertible bonds

65.8

66.3 Net investment income**261.5**386.4 **Others (1.9) (5.4)** —————

37 6.1

324.5 -----

361.7**1,269.0** =====

Note (a)

For the six months ended 30 June 2023, the Group carried out a business restructuring to streamline and rationalize the entire emerging energy

business, achieving substantial reduction in carbon emissions. As part of the business restructuring, the Group disposed of a portion of its equity interest in EcoCeres, Inc. to a strategic investor, whereby the investment was converted from a subsidiary to an associate, resulting in a net gain on disposal of approximately HK\$4,700,000,000.

Taking into account the above business restructuring plan and factors such as commodity price volatility, certain non-core and non-performing new energy and other businesses have been scaled down or disposed of, resulting in impairment or losses on disposal. For the six months ended 30 June 2023, this mainly included impairment provisions for property, plant and equipment related to chemical production projects, vehicle refueling stations and data centers located in mainland China of HK\$731,700,000, HK\$123,400,000 and HK\$294,000,000 respectively. In addition, the Group reached agreements to dispose of its logistics and coal investments, and accordingly reclassified such net assets as assets held for sale during the period. For the six months ended 30 June 2023, aggregate remeasurement losses of HK\$659,400,000 were recognized. For the six months ended 30 June 2024, further aggregate remeasurement losses of HK\$14,400,000 were recognized.

In June 2023, the Group reached an agreement to dispose of an unlisted equity investment which primarily owned coking coal mines, related coke production and coke oven gas conversion facilities. For the six months ended 30 June 2023, realized losses on financial assets and related derivative financial instruments amounted to HK\$1,757,800,000, and impairment losses on loans receivable and prepayments of HK\$858,600,000 were recognized.

(b) This amount represents an impairment provision for goodwill and property, plant and equipment of HK\$41,000,000 (2023: Mainland CHINA cities

Goodwill impairment provision for gas projects amounted to HK\$212,200,000).

6. Taxation

Six months ended 30 June 2024	2023	HK\$ Million	HK\$ Million	Current tax
903.0	1,197.9	Deferred tax and withholding tax arising from origination and reversal of temporary differences		
109.8				
170.0			1,012.8	1,367.9

The current income tax rates in Hong Kong, Mainland China, and Thailand are 16.5% (2023: 16.5%), 15% to 25% (2023: 15% to 25%), and 50% (2023: 50%), respectively. Regarding the Pillar Two Model Rules issued by the Organisation for Economic Co-operation and Development ("Pillar Two legislation"), as the Group operates in jurisdictions where Pillar Two legislation has not been enacted or substantively enacted, the Group has not applied the temporary exception during the period. Further disclosures will be made when Pillar Two legislation is enacted or substantively enacted in the future.

Notes to the Condensed Consolidated Interim Financial Statements (Unaudited)

7. Dividends

Six months ended 30 June 2024 2023 HK\$ Million HK\$ Million Final dividend paid for 2023 at HK 23 cents per ordinary share (2022 final dividend: HK 23 cents per ordinary share) 4,291.8 4,291.8

Proposed interim dividend for 2024 at HK 12 cents per ordinary share (2023 interim dividend: HK 12 cents per ordinary share) 2,239.2 2,239.2 6,531.0 6,531.0 8.

Earnings per share Basic **earnings per share** is calculated based on **profit attributable** to shareholders of **HK\$3,040,200,000** (2023: HK\$3,614,400,000) and the **weighted** average number of **shares** in issue during the period of 18,659,870,098 shares (2023: 18,659,870,098 shares).

As there was no effect of any dilutive potential ordinary shares during the period, the weighted average number of shares used in calculating diluted earnings per share is the same as that used in calculating basic earnings per share. Six months ended 30 June 2024 2023 HK\$ Million HK\$ Million Earnings

Profit attributable to shareholders of the Company for basic **earnings per share** 3,040.2 3,614.4 **Effect** of dilutive potential ordinary shares: Interest expense on convertible bonds attributable to

shareholders of the Company

27 .3

26 .2 Fair value change of embedded derivative component of convertible **bonds attributable** to shareholders of the Company (44.3) (44.0) Decrease in share of **profits of** subsidiaries and an associate (46.6) (71.5) **Profit attributable to shareholders** of the Company for diluted earnings per **share** **2,976.6** 3,525.1

**Trade
and Other Receivables**

	2024	2023	June 30	December 31	HK\$ Million	HK\$ Million	Trade receivables (Note)	3,994.7	4,590.6
Prepayments	1,750.9	1,801.8	Other receivables	4,498.7	3,532.2	_____	_____		
10	, 244.3	9, 924.6	=====	=====					

Note: The

Group has established different credit policies for various types of customers. Except for the Company's GAS fee receivables which are required to be paid within 8 working days after the issuance of bills, the credit period for trade receivables ranges from 30 to 60 days and is reviewed regularly by management. The aging analysis of trade receivables net of impairment provision is as follows:

2024	2023	June 30	December	
31	HK\$ Million	HK\$ Million	0 to 30 days	3,411.0
88	0.4			
31	to 60 days			
88	.1			
12	0.8			
61	to 90 days			
103	.4			
139	.3	Over 90 days		
392	.2			
450	.1	_____	_____	3,994.7 4,590.6 =====

10. Trade Payables and Other Liabilities

2024 2023

June 30 December 31

HK\$ Million HK\$ Million

Trade payables (Note a) 4,739.8 4,806.1

Other payables and accrued expenses (Note b) 6,446.9 6,275.5

Contract liabilities (Note c) 8,530.9 8,719.2

Lease liabilities 105.7 126.0

19,823.3 19,926.8

Note (a) The aging analysis of trade payables is as follows:

2024 2023

June 30 December 31

HK\$ Million HK\$ Million

0 to 30 days 1,472.6 1,698.8

31 to 60 days 631.0 738.0

61 to 90 days 772.1 722.1

Over 90 days 1,864.1 1,647.2

4,739.8 4,806.1

(b) The balance mainly represents accrued expenses for **services** or goods provided by suppliers.

(c) The balance mainly represents advance **payments** received from customers for **utility** installation **services**, **gas supply** and **provision** of maintenance services.

Employee and Production
Efficiency

As of 30 June 2024, the number of employees in the HK gas business was 2,117 (30 June 2023: 2,100), the number of customers was 2,027,334, and the overall productivity was 958 customers per employee, a slight increase compared to the same period last year. Including telecommunications and engineering contracting businesses, the total number of employees in HK Operations at the end of June this year was 2,341, compared to 2,325 in the same period last year. The related labour costs for the first half of this year amounted to HK\$658 million, an increase of HK\$39 million compared to the same period last year.

The Group will continue to provide appropriate promotion opportunities and rewards based on employees' work capabilities and performance, and actively provide various training programmes to strive to deliver higher quality services to customers.

Excluding HK Operations, as of 30 June 2024, the Group's total number of employees in mainland CHINA and overseas operations was approximately 53,610, comparable to the same period last year.

Suspension
of Register of Transfer of Shares

The Company's register of members will be closed from Monday, 2 September 2024 to Tuesday, 3 September 2024, both days inclusive. In order to qualify for the interim dividend, all transfer documents accompanied by the relevant share certificates must be lodged **with the Company's share registrar, Computershare HONGKONG Investor Services Limited**, at Shops 1712-1716, 17th Floor, Hopewell Centre, 183 Queen's Road East, Wanchai, HONGKONG **not later than 4:30 p.m. on Friday, 30 August 2024.**

Review of Financial

Resources Asset

Liquidity and Capital Resources

As at 30 June 2024, the Group's net current borrowings amounted to HK\$13,473 million (after reclassification of convertible bonds as current liabilities, 31 December 2023: HK\$9,873 million) and long-term borrowings amounted to HK\$37,992 million (after reclassification, 31 December 2023: HK\$38,858 million). In addition, available banking facilities amounted to HK\$21,800 million (31 December 2023: HK\$25,300 million).

The Group's funding sources for operations and capital expenditure are cash receipts from business operations, internal liquidity, bank financing facilities, bonds, and equity financing. The Group has sufficient and stable funding sources, available bank financing facilities, and medium-term note issuance programme to meet future capital investment and working capital requirements.

Financing Structure

In May 2009, the Group established a USD 1 billion Medium Term Note Programme (the "Programme"), through which the Group can flexibly issue such notes under suitable terms and timing. In June 2021, the Programme was updated and the issuable amount was increased to USD 5 billion. The Group has issued medium term notes totaling HKD 3.097 billion in 2024 to date, with an average tenor of 5.5 years. To support the Group's long-term business investments, as at 30 June 2024, the aggregate principal amount of medium term notes issued reached HKD 23.1 billion, with tenors ranging from 2 years to 40 years, interest rates primarily at fixed rates, an average annual interest rate of 3.6%, and an average tenor of 13 years. In addition, Towngas Smart Energy Company Limited ("Towngas Smart Energy"), a major listed subsidiary of the Group, also established a USD 2 billion Medium Term Note Programme in June 2021 to enhance its financing flexibility and capability, and to strengthen its financial position. In April 2022, Towngas Smart Energy issued its first 5-year sustainability-linked bond (the "Sustainability Bond"), raising USD 200 million. As at 30 June 2024, the aggregate principal amount of medium term notes issued by Towngas Smart Energy reached RMB 2 billion, with interest rates primarily at fixed rates, an average annual interest rate of 4.2%, and an average tenor of 4 years. The carrying value of RMB, AUD, JPY, USD and HKD notes (the "Medium Term Notes") issued through these programmes was HKD 25.17 billion as at 30 June 2024 (31 December 2023: HKD 23.754 billion).

To further broaden funding channels, HONGKONG AND CHINA GAS COMPANY LIMITED Smart Energy issued 1-year and 3-year Panda Bonds for the first time in mainland CHINA in June 2023, with a total fundraising scale of RMB 1.5 billion and an average annual interest rate of 3.27%, which included the first sustainability-linked Panda Bond issued by a HONGKONG-funded enterprise in mainland CHINA. The 1-year Panda Bond of RMB 1 billion was repaid on June 12, 2024. The book value of the Panda Bonds as of June 30, 2024 was HKD 538 million.

As of 30 June 2024, the Group's total borrowings amounted to HK\$60,084 million (31 December 2023: HK\$57,769 million). HONGKONG & CHINA GAS (Smart Energy) issued bonds with a face value of RMB in November 2021

Convertible bonds of HK\$1,836 million were issued to a strategic investor, with the debt component of these convertible bonds having a carrying value of HK\$1,843 million as at 30 June 2024 (31 December 2023: HK\$1,858 million). Except for the majority of the aforementioned notes and convertible bonds and certain bank and other loans which bear interest at fixed rates and are unsecured, a portion of the notes and all remaining bank and other loans of the Group are unsecured and bear interest at floating rates, of which HK\$15,379 million (31 December 2023: HK\$15,822 million) are long-term loans, while HK\$10,182 million (31 December 2023: HK\$5,996 million) mature within one year. As at 30 June 2024, the maturity profile of the Group's borrowings was as follows: 37% maturing within 1 year, 21% maturing within 1 to 2 years, 23% maturing within 2 to 5 years and 19% maturing beyond 5 years (after reclassification, 31 December 2023: 33% maturing within 1 year, 19% maturing within 1 to 2 years, 30% maturing within 2 to 5 years and 18% maturing beyond 5 years).

As of June 30, 2024, the medium-term notes denominated in Australian dollars, Japanese yen, and partially in Renminbi, and Towngas Smart

The sustainability bonds issued in US dollars by the energy segment have been hedged by converting them into Hong Kong dollars or Renminbi respectively through currency swap contracts. Except for borrowings under Towngas Smart Energy and subsidiaries in Mainland China which have been arranged to be borrowed directly in their functional currency (i.e., Renminbi) or hedged, the Group's borrowings after swaps are essentially in Hong Kong dollars (HK dollar borrowings: HK\$30.179 billion; Renminbi borrowings: HK\$6.846 billion).

In February 2019, the Group issued perpetual subordinated guaranteed capital securities ("Perpetual Capital Securities") in the amount of USD300 million, with the proceeds primarily used to refinance the Perpetual Capital Securities first issued in 2014 that were redeemed

in January 2019. The Perpetual Capital Securities carry a coupon rate of 4.75% per annum for the first 5 years, followed by a fixed rate thereafter.

In addition, the Perpetual Capital Securities have no fixed maturity date, and the Group may at its discretion defer the payment of distributions.

On 22 December 2023, the Group announced that it would redeem all Perpetual Capital Securities on the first call date of 12 February 2024.

Accordingly, the Perpetual Capital Securities were reclassified as redeemable perpetual under current liabilities as at 31 December 2023.

securities. In accordance with the terms and conditions of the perpetual capital securities, the redemption was completed upon payment on February 14, 2024.

As of 30 June 2024, the Group's gearing ratio [net borrowings / (total equity + net borrowings)] was

43% (December 31, 2023: 41%).

Guarantee

As at 30 June 2024 and 31 December 2023, the Group had not provided any guarantees in respect of banking facility arrangements for associates, joint ventures or third parties.

Currency Profile

The Group's operations and business are primarily in Hong Kong and mainland China. Its cash, cash equivalents, or borrowings are mainly

denominated in Hong Kong dollars, Renminbi, or US dollars. Borrowings of the Group's subsidiaries, associates, and joint ventures in mainland China are

primarily denominated in the local currency, namely Renminbi, providing a natural hedge for local investments.

Other Information

Corporate Governance

During the six months ended 30 June 2024, the Company has complied with all code provisions set out in the Corporate Governance Code contained in Appendix

C1 to the Rules Governing the Listing of Securities on The Stock Exchange of Hong Kong Limited (the "Listing Rules").

Model Set of Rules for Securities Transactions by Directors

The Company has adopted the Model Code as set out in Appendix C3 to the Listing Rules as the code of conduct for securities transactions by directors of the Company (the "Code"). Following specific enquiry by the Company, all directors of the Company have confirmed that they have fully complied with the standards required by the Code throughout all applicable periods during the six months ended 30 June 2024.

Repurchase, Sale or Redemption of Listed Securities

Except for the details regarding the redemption of perpetual capital securities in February 2024 set out under "Financing Structure", neither the Company nor any of its subsidiaries repurchased, sold or redeemed any of the Company's listed securities during the six months ended 30 June 2024.

By Order of
the Board

Managing Director

Alfred Wong

Chi Yee

HONGKONG, 16 August 2024 As at the date of this

announcement, the Board of Directors of the Company comprises: Non-executive Directors: Dr.

Victor Li Tzar Kuoi (Chairman), Dr. Richard Li Tzar Kai (Chairman), Dr. Colin Lam Ko Yin and Mr. Fung Hau Chung Independent Non-

executive Directors: Sir David Li

Kwok Po, Professor Peter Poon Chung Kwong, Dr. Moses Cheng Mo Chi and Professor Rosanna Wong Yick

Ming Executive

Directors: Mr. Alfred Wong Chi Yee, Mr. Yang Lei Ming and Mr. Chan Ying Lung



煤氣
Towngas